

SENATE BILL 1791

By Reeves

AN ACT to amend Tennessee Code Annotated, Title 29,
relative to rights of superior interest holders
subject to receivership proceedings.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 29-1-103, is amended by designating the existing language as subsection (a) and adding the following as subsection (b):

(b) Notwithstanding subsection (a), a receivership proceeding initiated in this state must not interfere with, and a judge or chancellor shall not limit, impede, or enjoin, the rights of a holder of an interest in receivership property if the holder's interest is superior, as defined in § 29-40-102, to that of the party initiating the receivership, absent the express consent of the superior interest holder. A superior interest holder's actions to establish or enforce a priority interest do not constitute consent to a receivership.

SECTION 2. Tennessee Code Annotated, Section 29-40-102, is amended by adding the following new subdivision:

() "Superior" means an interest that has priority over other interests in the same property under state law, including, but not limited to:

(A) The interest of the holder or beneficiary of a prior recorded deed of trust, security instrument, or other instrument evidencing an interest in the same property, is superior to the interest of a holder, beneficiary, or owner of a later recorded deed of trust or other security instrument, or other instrument evidencing an interest in the same property;

(B) The interest of the holder or beneficiary of a prior-filed Uniform Commercial Code financing statement is superior to the interest of a later-filed Uniform Commercial Code financing statement in the same property; and

(C) The interest of the holder or beneficiary of any recorded deed of trust, financing statement, other security instrument, or other instrument evidencing an interest in the same property, is superior to the interest in the same property of a person, including the person's heirs, successors, and assigns, who made or granted the deed of trust, financing statement, or other security instrument, or against whom the instrument is asserted;

SECTION 3. Tennessee Code Annotated, Section 29-40-105, is amended by designating the existing language as subsection (a) and adding the following as subsection (b):

(b) Notwithstanding subsection (a), establishing exclusive jurisdiction does not supersede or defeat any enforceable venue, jurisdiction, or choice of law agreement of the party whose interest in the property subject to receivership is superior to that of the party initiating the receivership.

SECTION 4. Tennessee Code Annotated, Section 29-40-114(d), is amended by adding the following as a new subdivision:

(6) An act, action, or proceeding to enforce or exercise the rights of an interest holder in property subject to a receivership that is superior to the interest of the party initiating the receivership proceeding.

SECTION 5. Tennessee Code Annotated, Section 29-40-114, is amended by adding the following as new subsections:

(g) A judge or chancellor shall not issue an order that limits, impedes, or enjoins the rights of an interest holder in property subject to a receivership that is superior to the interest of the party initiating the receivership proceeding.

(h) In the event a party elects to intervene in a receivership proceeding to obtain a determination by the court of the priority of the superior interest in the property subject to the receivership proceeding, the election does not constitute consent to the receivership, and if the court determines that the interest of the intervening party is superior to the interest of the party initiating the receivership, then:

(1) The court shall not issue an order or take action to limit, impede, or enjoin the rights of an interest holder in property subject to a receivership that is superior to the interest of the party initiating the receivership proceeding; and

(2) The court shall award the intervening party holding the superior interest reasonable attorney's fees and costs incurred in seeking the determination.

SECTION 6. If any provision of this act or its application to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 7. This act takes effect upon becoming a law, the public welfare requiring it, and applies to proceedings initiated on or after the effective date.